

Mortgage Spreads, Not the Fed, Kept Housing Alive Through the Iran Shock

The real story of 2026's first half is that capital markets did the work that monetary policy couldn't.

The most important number in the first half of 2026 is not the oil spike, the inflation print, or the Fed's dot plot. It is the mortgage spread. Housing demand survived the Iran conflict because capital markets did something the Fed could not: they kept mortgage rates below 7% even as the 10-year yield gyrated. Pending home sales are running ahead of 2025 levels.

Purchase applications have posted 22 weeks of year-over-year growth. And none of it happened because the central bank cut rates. It happened because the spread between mortgage rates and the 10-year Treasury compressed. That is a capital markets story, not a macro story. And it matters for every owner, lender, and investor in commercial real estate who is watching the cost of debt.

Mortgage spreads widened violently in 2022 and 2023 as the market repriced prepayment risk, servicing risk, and balance-sheet capacity. At the peak, the spread between the 30-year fixed mortgage rate and the 10-year yield exceeded 300 basis points. That spread has now compressed significantly, pulling mortgage rates down even as the 10-year yield stayed elevated during the Iran scare.

The result: mortgage rates started 2026 at their lowest level since 2022 and never breached 7% during the conflict. Borrowers got a reprieve that had nothing to do with the Fed's policy stance and everything to do with the return of liquidity in the mortgage-backed securities market. For commercial real estate, the lesson is direct. The cost of debt is not simply a function of the Fed funds rate.

It is a function of the spread, and the spread is a function of liquidity, risk appetite, and balance-sheet capacity in the capital markets that actually fund loans. When mortgage spreads compress, residential borrowers benefit. When they widen, commercial borrowers feel the pinch in conduit lending, bank pricing, and agency execution.

The same dynamic that kept housing alive through the Iran shock is the dynamic that determines whether a multifamily refinance pencils at a 1.25 DSCR or a 1.15. The data from the first half of 2026 shows that demand held up not because the economy was strong, but because the capital markets were functioning. Purchase applications saw 10 positive week-to-week prints and 22 positive year-over-year prints.

Weekly pending sales, despite a slight year-over-year dip on a hard comp, remained in a range that supports transaction volume. This is not a story of robust demand. It is a story of demand that was not destroyed by the cost of capital. That distinction matters for anyone underwriting a deal today. Who benefits? Borrowers with floating-rate exposure who avoided a rate spike. Lenders who locked execution early in the year.

And any sponsor who refinanced before the conflict widened spreads again. Who is exposed? Anyone underwriting a deal that assumes spreads will stay this tight. The Iran conflict is behind us, but the next shock may not be so kind. If spreads widen again, mortgage rates could push past 7% even if the 10-year yield stays flat. That would compress demand, slow absorption, and pressure the refinance pipeline.

The market should watch the spread, not the Fed. The Fed sets the short end. The capital markets set the cost of long-term debt. And in the first half of 2026, the capital markets did the heavy lifting. The question for the second half is whether that liquidity holds. If it does, housing can absorb the next shock. If it does not, the spread will become the story again.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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